

Palo Alto Networks

Three Takeaways From Our Meeting With IR

We met with Hamza Fodderwala, SVP, Investor Relations & Strategic Finance, and had three takeaways below on organic NNARR in 4Q26/our view into FY27, the mechanics behind subscription revenue growth and increasing focus on recurring, and why accelerating NetSec can support FCF margins. More below...

Company Update

PANW	OVERWEIGHT
U.S. Software	POSITIVE
Price Target	USD 315.00
Price (05-Jun-26)	USD 272.05
Potential Upside/Downside	+15.8%
Source: Bloomberg, Barclays Research	

U.S. Software

Saket Kalia, CFA

+1 212 526 8465

saket.kalia@barclays.com

BCI, US

Carly Buecker

+1 212 526 8284

carly.buecker@barclays.com

BCI, US

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Three takeaways from our meeting with Hamza Fodderwala, SVP, Investor Relations and Strategic Finance, at PANW: (1) we estimate 4Q26 organic NNARR guide went up by \$20M+ at the midpoint, and think FY27 could add \$1.9B+ in total NNARR with three moving parts, including tough compare on Chronosphere, lessening headwind from Prisma Cloud/Expanse/XSOAR, and potential Mythos benefit – we walk through our back-of-the-envelope math on 4Q26 guide and our FY27 forecast below; (2) one investor pushback from 3Q26 earnings was that organic subscription revenue growth was decelerating – we think part of this is from Prisma Cloud/Expanse/XSOAR dynamics above, but also mechanics of changing rev-rec on virtual firewalls which have a bigger upfront carve-out (and thus smaller subscription carve-out) versus last year, which is why the view on total recurring will become more important with new disclosure in FY27; (3) network security makes up ~70% of PANW's total business and that is accelerating – the interesting derivative of this is less of a billings duration headwind than PANW is current expecting, which supports path to 40% FCF margin in FY28.

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- We estimate 4Q26 organic NNARR guide went up by \$20M+ at midpoint; we also think FY27 base case NNARR could be \$1.9B+, getting to \$10.8-\$10.9B in ARR, with three things to consider: (1) tough comp on Chronosphere after frontier lab add in FY26; (2) lessening headwind from Prisma Cloud/Expanse/XSOAR, which we estimate makes up \$600-700M in ARR; (3) will there be a Mythos benefit in FY27?** PANW guided 4Q26 NNARR better than expected at the midpoint of \$795M versus \$620M previously – one of the pushbacks, though, was that PANW was not disclosing how much of this increase was organic versus inorganic. Granted, the bigger driver of the increase was inorganic – of the \$175M increase to 4Q guide, we think \$150-\$160M of this was inorganic as Chronosphere will continue to ramp the large frontier lab customer in 4Q and because we think Cyberark ARR grew 27% y/y in 3Q. Excluding this increase, we think that 4Q26 organic NNARR went up by at least \$20M as a base case (in line with 3Q organic beat), and that equates to y/y growth of ~20% by our estimates, a moderate organic acceleration off a tougher compare, which we think was good to see after Mythos in early April. Looking forward, we could see PANW add at least \$1,900M+ in NNARR, equating to \$10.8-\$10.9B in ARR base growth – round numbers, this equates to organic NNARR this year of ~\$1,500M+ growing LSD, ~\$100M in Chronosphere ARR, and 20%+ growth in CYBR ARR base growth or ~\$300M in NNARR. Digging deeper into these, it's important to note three things: (1) we estimate FY26 has ~\$600-700M of ARR from a combination of Prisma Cloud, Expanse, and XSOAR (we estimate ~\$500M of Prisma Cloud ARR, as well as ~\$100-200M of ARR from Expanse and XSOAR) that are not growing ARR and thus a headwind – these modules are transitioning to in-line tools (like Cortex Cloud) or to become modules within XSIAM, where the headwind should stabilize in FY27; (2) Chronosphere, which will have a tough compare, and NNARR will likely be down y/y in FY27 as the big frontier lab win will likely not repeat; (3) the part that is toughest to model is whether there will be benefit from Mythos in FY27 – we are not modelling this, as our organic NNARR forecast calls for LSD growth.
- Pushback was on subscription revenue potentially decelerating – we think it partially reflects transition in Prisma Cloud, but also reflects rev-rec mechanics of virtual firewalls; additional disclosure next year will be 3 product families and total recurring revenue.** One of the other pushbacks on PANW's print last week was that organic subscription revenue growth may have decelerated when excluding CYBR and Chronosphere from the 14% y/y growth rate we were seeing before this. We think it's important to understand the underlying reasons why this dynamic may be happening: (1) the dynamics with Prisma Cloud and the drag on ARR growth we think also applies to subscription revenue; (2) software firewalls have both a product and subscription component – historically when a customer bought on the marketplace, the upfront carve-out was 30% (and thus 70% subscription), whereas this year the carve-out is 40% (and thus 60% subscription) as more customers brought their own license and bought longer duration deals. For this reason, we think it makes sense to look at total recurring revenue to account for these carve-out mechanics, which are arguably not fundamental. Zooming out, this point may be moot in another quarter as PANW introduces new disclosure around three product families – Network Security (NetSec), Identity, and Cortex – though we expect to get disclosure on consolidated recurring revenue to normalize for these mechanics on a quarterly basis that should be less noisy than the subscription line currently.
- Other tidbits: (1) Network security makes up ~70% of total business, and that is accelerating; (2) that could lessen the billings duration headwind, which supports path to 40% FCF margin in FY28.** Recall, PANW noted last quarter that Network Security (ie firewall plus SASE) makes up about 70% of the total business, and we think it's important to note that this business accelerated in 3Q26 – TTM firewall bookings were up to 19% from 11% in 3Q, and SASE ARR grew 40% y/y, up from 36% in 3Q last year. The debate with investors is where this is coming from – pull-forward of hardware given supply chain dynamics? new

demand from AI data center builds? increased competitive displacements in SASE on top of healthy market growth? We think it is ultimately a combination of all these, but the important thing to note is that this is PANW's largest business. Relatedly, we also think the improving fundamentals in network security could have ramifications for billings duration and thus FCF – remember, customers for firewall attached subscriptions/maintenance tend to pay multiple years upfront, and PANW has been assuming a gradual decline in billings duration. To the extent NetSec continues to accelerate, this could ease that decline in billings duration, which on top of CYBR expense synergies, supports the path to 40% FCF in FY28.

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Palo Alto Networks (PANW, 05-Jun-2026, USD 272.05), Overweight/Positive, CE/D/J/K/L/M

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SailPoint, Inc. (SAIL)	Salesforce.com Inc. (CRM)	SAP SE (SAP)
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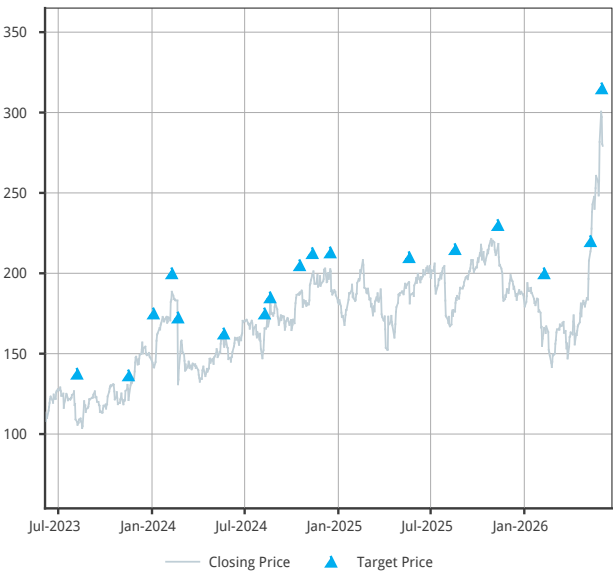
Stock Rating: **OVERWEIGHT**

Industry View: **POSITIVE**

Closing Price: **USD 272.05** (05-Jun-2026)

Rating and Price Target Chart - USD (as of 05-Jun-2026)

Currency=USD



Source: IDC, Barclays Research

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Publication Date	Closing Price*	Rating	Adjusted Price Target
02-Jun-2026	297.18		315.00
11-May-2026	207.88		220.00
09-Feb-2026	154.77		200.00
10-Nov-2025	211.37		230.00
18-Aug-2025	176.17		215.00
20-May-2025	194.48		210.00
16-Dec-2024	202.50		213.00
11-Nov-2024	195.70		212.50
17-Oct-2024	186.62		205.00
20-Aug-2024	171.68		185.00
09-Aug-2024	158.69		175.00
21-May-2024	161.89		162.50
21-Feb-2024	130.99		172.50
09-Feb-2024	188.45		200.00
04-Jan-2024	141.65		175.00
16-Nov-2023	121.15		136.50
07-Aug-2023	107.62		137.50

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